

# Title Report - Lender - commitment should work - 1

## LENDER TITLE SUMMARY REPORT

Commitment Number: 01-26006219-01T  
Property: 675 Bunker Hill Road, Columbia, MS 39429-7832  
Loan ID: MS-26-1226  
Closing Readiness Score: 67/100

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## EXECUTIVE SUMMARY

?? CRITICAL ISSUE - CLOSING CANNOT PROCEED

This transaction has a blocking defect that must be resolved immediately. A deed was recorded naming the wrong grantees (Christopher Lane Thornhill and Sara E. Jackson) instead of the buyer (Kyla B. Fortenberry). This violates Requirement 4 and prevents title issuance to the lender. Additionally, LLC compliance documentation is outstanding, and duplicate mineral interest exceptions require consolidation.

Status: File is NOT READY for closing until the deed is corrected and rerecorded.

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## PROPERTY & TRANSACTION DETAILS

| Item                   | Details                                             |
|------------------------|-----------------------------------------------------|
| Property Address       | 675 Bunker Hill Road, Columbia, MS 39429-7832       |
| County                 | Marion County, Mississippi                          |
| Parcel Number          | 074-04-000-04-005                                   |
| Acreage                | 88.00 acres                                         |
| Loan Amount            | \$80,808.00                                         |
| Owner's Policy Amount  | \$80,000.00                                         |
| Lender                 | Society Mortgage, Its Successors and/or Its Assigns |
| Buyer/Proposed Insured | Kyla B. Fortenberry                                 |
| Current Vested Owner   | Garner Tree Farm, LLC (Mississippi LLC)             |
| Commitment Date        | January 16, 2026                                    |

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## CRITICAL BLOCKING ISSUES

#### **? REQUIREMENT 4 - DEED GRANTEE MISMATCH (CRITICAL)**

Status: ? NOT SATISFIED

Issue:

- Requirement 4 mandates recording a deed from Garner Tree Farm, LLC to Kyla B. Fortenberry
- The deed recorded on 01/13/2026 (Instrument #20260174) conveys title to Christopher Lane Thornhill and Sara E. Jackson
- This is a complete failure to satisfy the requirement and creates a title defect

Impact on Lender:

- Title policy cannot be issued to Society Mortgage with Kyla B. Fortenberry as owner
- Lender's security interest is jeopardized
- Closing cannot proceed

Required Action:

- Obtain a corrected warranty deed naming Kyla B. Fortenberry as sole grantee
- Record the corrected deed immediately in Marion County
- Provide recorded copy to title company for verification

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#### **? REQUIREMENT 6 - LLC COMPLIANCE DOCUMENTATION (CRITICAL)**

Status: ? NOT SATISFIED

Outstanding Documents:

- [ ] Copy of operating agreement and amendments (or certification of none)
- [ ] Evidence that LLC is in good standing with Mississippi Secretary of State
- [ ] Resolution signed by all members authorizing the transaction
- [ ] Any additional requirements following organizational document review

LLC Members:

- Ricky Lane McPhail
- Terri Garner Crawley
- Patsy Garner Brewton
- Karen Garner Delancey

Impact:

- Cannot confirm LLC authority to convey property
- Requirement 1 discrepancy (vested owner vs. seller) cannot be resolved without LLC documentation

Required Action:

- Submit complete LLC compliance package immediately
- Ensure all members have authorized the sale via resolution
- Provide good standing certificate from Mississippi Secretary of State

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## OUTSTANDING REQUIREMENTS STATUS

| Requirement | Description                                                    | Status    | Priority |
|-------------|----------------------------------------------------------------|-----------|----------|
| -----       | -----                                                          | -----     | -----    |
| Req. 1      | Explain vested owner (LLC) vs. seller (individual) discrepancy | ? Pending | HIGH     |
| Req. 2      | Verify no open deed of trust                                   | ? Cleared | --       |
| Req. 3      | Bankruptcy search clearance                                    | ? Cleared | --       |
| Req. 4      | Record deed to Kyla B. Fortenberry                             | ? FAILED  | CRITICAL |
| Req. 5      | Record deed of trust to Society Mortgage                       | ? Pending | ROUTINE  |
| Req. 6      | LLC documentation and compliance                               | ? MISSING | CRITICAL |

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## EXCEPTIONS ANALYSIS

### *Standard Exceptions (Acceptable)*

| Exception                       | Description                              | Lender Impact            |
|---------------------------------|------------------------------------------|--------------------------|
| -----                           | -----                                    | -----                    |
| Survey Exceptions               | Facts disclosed by comprehensive survey  | Standard                 |
| Rights of Parties in Possession | Claims of parties in possession          | Standard                 |
| Mechanics' Liens                | Contractor/material men's liens (if any) | Standard                 |
| Taxes & Assessments             | Current and future taxes                 | CLEAR - No delinquencies |

### *Easements (Recorded & Acceptable)*

- VYVX, Inc. Easement (03/31/1997) - Right of way and easement agreement
- Bunker Hill Water Association Easement (08/19/2009) - Water line easement
- Bunker Hill Water Association Easement (04/06/2023) - Deed of easement

Note: Easements are standard utility/infrastructure items and do not impair lender's security.

### **?? MINERAL INTERESTS - DUPLICATE EXCEPTIONS (HIGH PRIORITY)**

Issue:

- Exception 1: "Any prior reservation or conveyance of minerals of every kind and character, including oil, gas, sand and gravel"
- Exception 8: "Oil, gas, coal and other mineral interests together with the rights appurtenant thereto"

Clarification:

- Warranty deed confirms minerals are severed from the property: "LESS AND EXCEPT all oil, gas, and other minerals in, on, and under all of the lands herein conveyed"

- Minerals are reserved and not conveyed to buyer

Required Action:

- Consolidate duplicate exceptions into single, clear exception in final policy
- Confirm mineral severance does not affect lender's first lien position on surface rights

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## TAX & FINANCIAL STATUS

| Item                                | Status              |
|-------------------------------------|---------------------|
| -----                               | -----               |
| 2025 County Taxes (1st Installment) | ? PAID (\$1,132.52) |
| Delinquent Taxes                    | ? NONE (\$0.00)     |
| Assessed Value                      | \$9,030.00          |
| Land Value                          | \$26,180.00         |
| Total Property Value                | \$60,190.00         |

Conclusion: Property has no tax delinquencies. Tax status is clear.

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## RISK ASSESSMENT SUMMARY

| Risk Level | Issue                                         | Status                 |
|------------|-----------------------------------------------|------------------------|
| -----      | -----                                         | -----                  |
| ? CRITICAL | Wrong grantee in recorded deed (Req. 4)       | BLOCKING               |
| ? CRITICAL | Missing LLC compliance documentation (Req. 6) | BLOCKING               |
| ? HIGH     | Duplicate mineral interest exceptions         | Requires consolidation |
| ? MEDIUM   | Vested owner vs. seller discrepancy           | Pending LLC docs       |

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## CLOSING READINESS ASSESSMENT

Current Score: 67/100

Readiness Status: ? NOT READY FOR CLOSING

### *What Must Be Completed Before Closing:*

1. IMMEDIATE (Within 24-48 hours):
  - Obtain corrected warranty deed naming Kyla B. Fortenberry as grantee
  - Record corrected deed in Marion County
  - Provide recorded copy to title company

2. IMMEDIATE (Within 24-48 hours):

- Submit complete LLC compliance package:
- Operating agreement and amendments
- Good standing certificate
- Member resolution authorizing sale
- Clarify vested owner vs. seller discrepancy

3. ROUTINE (After above items cleared):

- Record deed of trust to Society Mortgage (Requirement 5)
- Final title verification and policy issuance

***Estimated Timeline to Closing:***

- If corrected deed and LLC docs submitted today: 3-5 business days
- If delays occur: Closing will be postponed indefinitely

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**RECOMMENDATIONS FOR LENDER**

***Immediate Actions Required:***

1. Contact Seller/Buyer Immediately

- Advise of deed grantee error
- Demand corrected deed be prepared and recorded within 24 hours
- Confirm buyer (Kyla B. Fortenberry) is aware of the issue

2. Require LLC Documentation

- Request all compliance documents from seller/LLC representatives
- Verify all four LLC members have authorized the transaction
- Obtain good standing certificate from Mississippi Secretary of State

3. Consolidate Mineral Exceptions

- Instruct title company to combine Exceptions 1 and 8 into single, clear exception
- Confirm mineral severance does not affect lender's first lien position

4. Do Not Schedule Closing

- Closing cannot proceed until Requirement 4 (corrected deed) and Requirement 6 (LLC docs) are satisfied
- Current readiness score of 67/100 reflects blocking defects

***Title Company Coordination:***

- Request expedited processing once corrected deed is recorded
- Confirm deed of trust recording (Requirement 5) is ready to proceed
- Obtain final title commitment update before closing

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## CONCLUSION

This transaction presents significant title defects that prevent closing. The wrong grantee in the recorded deed is a critical blocking issue that must be corrected immediately. Additionally, missing LLC compliance documentation prevents confirmation of the seller's authority to convey.

The file cannot move forward until:

1. A corrected deed naming Kyla B. Fortenberry is recorded
2. Complete LLC compliance documentation is submitted

Once these items are resolved, the remaining requirements are routine and should clear quickly. The property has no tax delinquencies and standard easements are already noted. However, closing is not possible in the current state.

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Report Prepared By: Title Insurance Report Writer

Date: January 16, 2026

Commitment Number: 01-26006219-01T